

Nation Media Group Limited
Audited Group Results for the year ended 31 December 2016

The Directors are pleased to present the Group's audited financial results for the year ended 31 December, 2016.

GROUP RESULTS

The business environment was challenging in 2016. The Group performance was adversely affected by revenue shortfall, occasioned mainly by a drop in advertising volumes. The results were also affected by the closure costs on the non-performing businesses and staff reorganisation expenses incurred at the end of the year. However, the impact of the adverse environment on the Group performance was mitigated by high interest income and cost management measures undertaken.

The tax expense in 2016 was significantly higher than the previous year, as the 2015 tax benefited from a one-off investment deduction allowance from the new printing press installation.

The Group's turnover declined by 8.2% to Kshs 11.3 billion, while the profit before tax at Kshs 2.5 billion was 12.9% lower than the prior year.

The Group will continue identifying new revenue streams offered by the digital space, in addition to managing the cost structure.

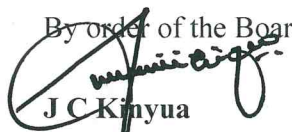
DIVIDENDS

The directors recommend the payment of a final dividend of Kshs7.50 per share (300%) on the issued share capital as at 31 December 2016, which together with the interim dividend of Kshs 2.50 per share (100%) paid on 30 September 2016, makes a total of Kshs10.00 per share (400%) in respect of the year ended 31 December 2016 (2015: Kshs10.00 per share). The dividend will be paid less withholding tax where applicable on or about 31 July 2016 to shareholders registered on the register of members at the close of business on 9 June 2017. The register of members will be closed from 12 to 16 June 2017, both dates inclusive.

ANNUAL GENERAL MEETING

The company will hold its Annual General Meeting on Friday 23 June 2017 at 2.00 pm at the Amphitheatre, Kenyatta International Convention Centre, Nairobi.

By order of the Board


J C Kinyua
COMPANY SECRETARY

31 March 2017

Nation Media Group Limited
Audited Group Results for the Period ended 31 December 2016
**Condensed Consolidated Statement of Comprehensive Income
for the year ended 31 December**

	2016 Kshs.million	2015 Kshs.million
Revenue	11,324.8	12,339.5
Profit before tax	2,460.0	2,823.2
Income tax expense	(771.1)	(600.5)
Profit after tax	1,688.9	2,222.7
Other comprehensive income	(54.2)	(151.6)
Total Comprehensive Income for the year	1,634.7	2,071.1
Attributable to:		
Equity holders of the Company	1,636.1	2,076.6
Non-controlling interest	(1.4)	(5.5)
Earnings per share (Kshs)	8.9	11.8
Dividend per share (Kshs)-Ordinary	10.0	10.0

Condensed Consolidated Statement of Financial Position as at 31 December

	2016 Kshs.million	2015 Kshs.million
Capital and reserves		
Share capital	471.4	471.4
Other reserves	(89.1)	(56.4)
Retained earnings	6,859.5	7,076.2
Proposed dividends	1,414.1	1,414.1
	8,655.9	8,905.3
Non-controlling interest	47.0	48.4
Total equity	8,702.9	8,953.7
Non-current liabilities	15.2	151.9
	8,718.1	9,105.6
Assets		
Non-current assets	5,010.8	5,171.8
Working capital		
Current assets	7,163.3	7,524.9
Current liabilities	3,456.0	3,591.1
Net working capital	3,707.3	3,933.8
	8,718.1	9,105.6

**Condensed Consolidated statement of Cashflows
for the period ended 31 December**

	2016 Kshs.million	2015 Kshs.million
Cash generated from operations	2,525.8	3,376.6
Interest received	308.3	324.6
Interest paid	(2.1)	(8.3)
Tax paid	(93.4)	(767.4)
Net cash from operating activities	2,738.6	2,925.5
Net cash used in investing activities	(428.7)	(1,339.8)
Net cash used in financing activities	(1,923.5)	(1,915.9)
Increase/(decrease) in cash and cash equivalents	386.4	(330.2)